

listed on McKay Price's website, a professor who manually finds REIT matches in the CRSP and Compustat database to expand the universe.^{[11](#)} We only examine REITs above the NYSE 40th percentile for market capitalization to avoid smaller REITs, which may skew results. Finally, we show results to an equal-weighted monthly-rebalanced portfolio of the top one-third of all REITs ranked on their past momentum over the past 12 months (ignoring last month's return).

We can also improve on a generic commodity exposure like GSCI, the Goldman Sachs Commodity Index. For example, research published in the *Journal of Finance* in 2014 by Szymanowska et al.^{[12](#)} and research published in the *Journal of Banking & Finance* in 2010 by Fuertes et al.^{[13](#)} find that commodity returns can be improved by sorting futures based on the term structure of the futures curve and the relative momentum of futures. To verify these results, we analyze a commodity strategy that sorts 22 commodity contracts each month on both backwardation and momentum. We then average these ranks, and go long the nine contracts with the highest average ranks.

We present our enhanced REIT and commodity strategies in [Table 9.10](#). The results cover January 1, 1992, until December 31, 2014, due to limitations on our ability to get reliable commodity futures data and a large enough REIT sample to make the analysis worthwhile (we require a minimum portfolio size of 10). We highlight the legend below:

- REIT = FTSE NAREIT All Equity REITS Total Return Index
- REIT MOM = REIT Momentum strategy outlined above (from January 1, 1992, to December 31, 1994, we use the FTSE NAREIT Index).
- GSCI = GSCI Index (Passive Commodities)
- Alpha Commodities: Long the top nine commodity futures with the highest average ranking on backwardation and momentum.